14. Income Taxes

Income (loss) before provision (benefit) for income taxes is as follows (in thousands):

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	For the year ended December 31,		
	2024	2023	2022
Income (loss) before provision (benefit) for income taxes from:			
U.S. operations	$ 16,010	$ (6,900)	$ 439
Foreign operations	8,234	(11,765)	8,855
Income (loss) before provision (benefit) for income taxes	$ 24,244	$ (18,665)	$ 9,294

The provision (benefit) for income taxes consists of the following (in thousands):

	For the year ended December 31,		
	2024	2023	2022
Current			
Federal	$ 6,164	$ 1,372	$ (644)
States and local	1,333	705	464
Foreign	2,642	2,063	3,251
Reserve for uncertain tax positions	3	16	136
Total current provision (benefit)	$ 10,142	$ 4,156	$ 3,207
Deferred			
Federal	$ (3,595)	$ (2,005)	$ (435)
States and local	143	(122)	242
Foreign	(188)	(1,439)	(1,614)
Reserve for uncertain tax positions	—	—	—
Total deferred benefit	(3,640)	(3,566)	(1,807)
Net change in valuation allowance	(1,228)	(1,810)	1,320
Net deferred benefit	(4,868)	(5,376)	(487)
Total provision (benefit) for income taxes	$ 5,274	$ (1,220)	$ 2,720

The provision (benefit) for income taxes differs from the amount computed by applying the statutory federal tax rate to income tax as follows (in thousands):

	For the years ended December 31,					
	2024		2023		2022	
Federal tax at statutory rate	$ 5,091	21.0 %	$ (3,920)	21.0 %	$ 1,952	21.0 %
State taxes, net of federal benefit	872	3.6 %	611	(3.3)%	622	6.7 %
Foreign tax	444	1.8 %	274	(1.5)%	218	2.3 %
Goodwill impairment	—	— %	2,901	(15.5)%	—	— %
Equity compensation	(20)	(0.1)%	716	(3.8)%	—	— %
US taxation of foreign earnings	19	0.1 %	98	(0.5)%	100	1.1 %
Permanent differences	405	1.7 %	485	(2.6)%	363	3.9 %
Research & Development Credit	(713)	(2.9)%	(602)	3.2 %	(1,716)	(18.5)%
Change in valuation allowance	(1,228)	(5.1)%	(1,810)	9.7 %	1,320	14.2 %
Impact of foreign tax rate changes	—	— %		— %	(246)	(2.6)%
Other	404	1.7 %	27	(0.1)%	107	1.2 %
Total provision (benefit) for income taxes	$ 5,274	21.8 %	$ (1,220)	6.6 %	$ 2,720	29.3 %

The permanent differences identified above include normal recurring differences, such as meals, entertainment, and parking fringe benefits as well as a portion of the goodwill impairment charge.

On June 28, 2019, the Canadian province of Alberta enacted the Job Creation Tax Cut which reduced the Alberta corporate income tax rate from 12% to 11% starting in 2019 with further annual reductions to 10% in 2020, 9% in 2021, and 8% in 2022.

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On March 27, 2020, the United States enacted the Coronavirus Aid, Relief, and Economic Security Act (CARES Act). The CARES Act is an approximately $2 trillion emergency economic stimulus package in response to the Coronavirus outbreak, which among other things contains numerous income tax provisions. Some of these tax provisions are effective retroactively for years ending before the date of enactment. The CARES Act provides a five-year carryback of net operating losses generated in years 2018 through 2020. As the statutory federal income tax rate applicable to certain years within the carryback period is 35%, carryback to those years of our estimated 2020 annual federal tax loss provides a tax benefit in excess of the current federal statutory rate of 21%, resulting in an increased income tax benefit of $1.9 million. The income tax effects of the CARES Act resulted in a cash refund of approximately $4.9 million in 2021 of taxes paid in prior years.

On December 27, 2020, the United States enacted the Consolidated Appropriations Act, 2021, (the "Appropriations Act") an additional stimulus package providing financial relief for individuals and small business. The Appropriations Act contains a variety of tax provisions, including full expensing of business meals in 2021 and 2022, and expansion of the employee retention tax credit. The Appropriations Act did not have a material impact on our consolidated financial position, results of operations, and cash flows.

In response to the COVID-19 pandemic, the American Rescue Plan Act was signed into law on March 11, 2021. This act, among other things, provides economic relief provisions to individuals and funding to certain businesses and programs. This guidance did not have a material impact on our consolidated financial position, results of operations, and cash flows.

In August 2022 the United States enacted the Inflation Reduction Act (“IRA”) of 2022 (Public Law No. 117-169), which includes a 15% book minimum tax on corporations with financial accounting profits over 1 billion US dollars (USD) and a 1% excise tax on certain stock buybacks. The IRA also contains numerous clean energy tax incentives related to electricity production, carbon sequestration, alternative vehicles and fuels, and residential and commercial energy efficiency. The Company does not expect this act to have a material impact.

Deferred income tax attributes resulting from differences between financial accounting amounts and income tax basis of assets and liabilities are as follows (in thousands):

	December 31,	
	2024	2023
Deferred income tax assets		
Allowance for doubtful accounts	$ 470	$ 298
Inventory	1,218	1,201
Intangible assets	808	1,036
Accrued expenses	4,090	4,085
Net operating loss carryforward	4,369	5,329
Finance lease obligations	189	275
Stock Options	183	187
Deferred stock based compensation	911	723
Interest carryforward	6,328	4,174
Right-of-use liability	8,696	8,984
R&D Expense	6,671	5,091
Credits	100	87
Other	442	1,694
Deferred income tax assets	34,475	33,164
Valuation allowance	(4,034)	(6,029)
Net deferred income tax assets	$ 30,441	$ 27,135
Deferred income tax liabilities		
Property and equipment	$ (5,404)	$ (6,472)
Goodwill	(10,134)	(9,132)
Intangible assets	(1,952)	(2,822)
Right-of-use asset	(8,657)	(8,944)
Other	—	(2)
Deferred income tax liabilities	(26,147)	(27,372)
Net deferred income taxes	$ 4,294	$ (237)

As of December 31, 2024, the Company had no federal net operating loss carry forwards (NOLs). In addition, as of December 31, 2024, the Company had state and foreign NOLs of $23.8 million and $12.2 million, respectively. Approximately $11.8 million of state NOLs expire at various times from 2023 to 2042, while the remainder of the Company's state NOLs do not expire. Approximately $1.9 million of the foreign NOLs expire at various times from 2023 to 2041, while the remainder of the Company's foreign NOLs do not expire.

In assessing the ability to realize deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will be realized. Valuation allowances are provided when management believes the Company's deferred tax assets are not recoverable based on future reversals of existing taxable temporary differences, taxable income in prior carryback year(s) if carryback is permitted under the tax law, and an assessment of estimated future taxable income, exclusive of reversing temporary differences and carryforwards, that incorporates on going, prudent and feasible tax planning strategies. At December 31, 2024 and December 31, 2023, the Company had a valuation allowance of approximately $4.0 million and $6.0 million, respectively, primarily against certain state and foreign NOLs and other specific deferred tax assets. The net decrease in the valuation allowance of approximately $2.0 million is primarily attributable to state and foreign net operating losses and changes in foreign exchange rates, offset by a reduction of expiring losses. Except for those deferred tax assets subject to the valuation allowance, management believes that it will realize all deferred tax assets as a result of sufficient future taxable income in each tax jurisdiction in which the Company has deferred tax assets. .

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The following table summarizes the changes in the Company’s gross unrecognized tax benefits, excluding interest and penalties (in thousands):

	For the year ended December 31,	
	2024	2023
Balance at beginning of period	$ 258	$ 258
Additions for tax positions related to the current fiscal period	—	—
Additions for tax positions related to prior years	—	—
Reductions related to the expiration of statutes of limitations	(7)	—
Balance at end of period	$ 251	$ 258

The Company has recorded the unrecognized tax benefits in other long-term liabilities in the consolidated balance sheets. As of December 31, 2024 and December 31, 2023, there were approximately $0.3 million and $0.3 million of unrecognized tax benefits, respectively, including penalties and interest. If the Company recognized these unrecognized tax benefits, approximately $0.3 million and $0.3 million would favorably affect the effective tax rate for both December 31, 2024 and December 31, 2023, respectively. Interest and penalties related to unrecognized tax benefits are recorded in income tax expense and are not significant for the years ended December 31, 2024, 2023 and 2022. The Company anticipates a decrease to its unrecognized tax benefits of $0.1 million excluding interest and penalties within the next 12 months.

The Company is subject to taxation in the United States and various states and foreign jurisdictions. The Company is no longer subject to U.S. federal income tax examinations for years ending before December 31, 2017 and generally is no longer subject to state, local or foreign income tax examinations by tax authorities for years ending before December 31, 2019. Currently the Company is undergoing a federal tax audit for years ending December 31, 2018 through December 31, 2020.

As previously noted, the Tax Act made significant changes to the taxation of undistributed earnings, requiring that all previously untaxed earnings and profits of the Company's controlled foreign operations be subjected to the transition tax. Since these earnings have now been subjected to U.S. federal tax, they would only be potentially subject to limited other taxes, including foreign withholding and certain state taxes. As of December 31, 2024, the Company has not recognized a deferred tax liability for foreign withholdings and state taxes on its undistributed international earnings or losses of its foreign subsidiaries since it intends to indefinitely reinvest the earnings outside the United States. The Company has estimated $74.4 million of unremitted international earnings which provides an unrecorded deferred tax liability related to undistributed international earnings of approximately $1.2 million.